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Principles of Private Law

Class 3B

Certainty

- Offer and acceptance
- Consideration
- Intention to create legal relations
- Certainty of the bargain

What might make a contact uncertain, and thus not a n enforceable contract?

- Incompleteness
  - Failure to agree on an essential term, or an agreement to agree
- Unresolvable ambiguity
  - Contract hopelessly vague or imprecise
- Illusory promise
  - Usually because promisor expresses the nominally contractual promise in such a way that reserves to him/ herself a discretion whether he/she will actually carry it out.

- The categories often overlap
- NOTE: courts will strive to give effect to a contract if possible

Upper Hunter County District Council v Australian Chilling and Freezing Co Ltd (1968) 118 CLR 429

- (Barwick C.J., McTiernan, Kitto, Menzies and Windeyer JJ)
- The council purchased electricity in bulk
- It agreed to supply ACFC Ltd (the company) with electricity at certain rates.
- The agreement provided for automatic changes in the rates according to changes in the basic wage and the cost of coal delivered to the generating authority.
- Clause 5 of the agreement provided: if the the council's costs shall vary in other respects than has been hereinbefore provided, the supplier shall have the right to vary the maximum demand charge and the energy charge by notice in writing to the purchaser. The agreement also provided for arbitration in the event of a dispute between the parties.
- The council sought to increase the charge pursuant to cl 5. The company claimed that clause 5 was uncertain and that, accordingly, the council had no entitlement to increase the charge.

Certainty

Upper Hunter County District Council v Australian Chilling and Freezing Co Ltd (1968) 118 CLR 429

(1) What is the general principle on "certainty"?

(2) How did the Court apply the principle in the case?

Upper Hunter County District Council v Australian Chilling and Freezing Co Ltd (1968) 118 CLR 429

Cl 5 "It is agreed that during the term of this agreement if the supplier's costs shall vary in other respects than has been hereinbefore provided, the supplier shall have the right to vary the maximum demand charge by notice in writing to the purchaser"

Was this sufficiently certain?

Barwick CJ "to my mind the cost of doing something is certain in the sense that it provides a criterion by reference to which the rights of the parties may ultimately be worked out, if not by the parties then by the court"

Note: Cl 18 of the contract expressly provided that any dispute or difference arising in assessing the 'suppliers costs' would be determined by an arbitrator

A contract of which there can be more than one possible meaning or which when construed can produce in its application more than one result is not void for uncertainty. As long as it is capable of meaning, it will ultimately bear that meaning which the courts, …, decide is its proper construction …

The question becomes one of construction, of ascertaining the intention of the parties, and of applying it.

So long as the language employed by the parties is not so obscure and so incapable of any definite or precise meaning that the court is unable to attribute to the parties any particular contractual intention, the contract cannot be held to be void or uncertain or meaningless. In the search for that intention, no narrow or pedantic approach is warranted, particularly in the case of commercial arrangements.

… the concept of a cost of doing something is certain in the sense that it provides a criterion by reference to which the rights of the parties may ultimately and logically be worked out, if not by the parties then by the courts… In this case, the contract itself provided the means of resolution… by the decision of an arbitrator whose judgment … was agreed to be final and binding … (Barwick CJ)

Upper Hunter

- KITTO J. I am unable to agree in the view of the Supreme Court that cl. 5 of the supply agreement is void for uncertainty.
- The costs referred to as "the supplier's costs" are necessarily its costs of carrying out the contract on its part, and are capable of ascertainment by an application of ordinary business concepts ; "vary" is plain enough without an express statement of a standard ; "in other respects than as has been hereinbefore provided" are words of specific exclusion, and none the less so because earlier provisions of the agreement may need to be construed in order to decide whether a particular variation in costs is within the exclusion ; and the right to vary the maximum demand charge and energy charge is obviously subject to the implied limitation that the variation of charges shall not be more than is required to reflect the variation in costs.
- I allow the appeal. (at p439)

MENZIES J.

- On its face clause [5] seems plain enough but it is said that it is full of latent ambiguity.
- an increase or decrease in the basic wage or the cost of coal to the generating companies automatically affects both the price that the supplier pays for electricity and the price that it charges the purchaser.
- In a real sense, and, in the sense of the agreement, cl. 2 does relate to "the supplier's costs". It is apparent, therefore, that what the agreement does is to provide (1) for the automatic variation of charges, in the event of specific changes in the basic wage and specific changes in the price of coal paid by the generating companies; and (2) for the right of the supplier to vary charges if its costs of carrying out its contract with the purchaser should vary in other respects in the course of its doing so

Menzies J (cont'd)

Recognition that there are questions of construction implicit in cl. 5, and, that in agreeing to it in the form in which the clause appears the purchaser may have been improvident, does not mean that the clause is meaningless, nor, does recognition that, in particular circumstances, there may be more than one view about the true effect of the clause.

Ambiguities of the sort that I have been discussing, do not however involve that kind of uncertainty which defeats the intention of the parties to make a binding contract; viz., the use of language which, as a matter of construction and not mere speculation, cannot be given any one meaning rather than another.

Biotechnology Australia Pty Ltd v Pace (1988) 15 NSWLR 130

Dr Pace had an option to participate in the Senior Share equity sharing program.

That program never existed.

(1) What are the ways in which an apparent gap might be filled?

(2) To what extent is the NSW Court divided on whether the relevant clause of the contract is uncertain, and why?

How might gap be filled?

1. Every case depends on its own facts – objective determination or may need extrinsic evidence.
2. Court will try not to frustrate the wishes of the contracting parties.
3. Court will not make a call when the parties themselves have failed to agree.
4. JJ views will differ about classification of the challenged provision.
5. Court will pay regard to the features of the agreement, the relationship between the parties and relevant external reference points to decide whether the term which is challenged can or cannot be sustained.
6. Relevant matters in determining these cases:
    1. Provision may be settled by an identified 3rd party who has been given power to resolve ambiguities / uncertainties.
    2. If term is so vital that leaving it to one of the parties unacceptably removes certainty, court may or may not refuse to enforce it as illusory.
    3. Existence of a readily ascertainable external standard
    4. If a contract contains a range of possibilities, ct will opt for the minimum within the range.

To what extent is the NSW Court divided on whether the relevant clause of Dr Pace's contract is uncertain, and why?

Kirby P = illusory and unenforceable

McHugh JA

- Impossible to compare salary packages across the biotech companies accurately.
- Right from the start Dr pace knew there was no Senior Staff equity program.
- Biotech never promised it would exist = unenforceable

Hope JA (dissenting) – there was a valid and enforceable contractual promise to create the scheme = not unenforceable for uncertainty or by being illusory

Hall v Busst (1960) 104 CLR 206



- Hall bought Bedarra Island from Busst.
- Contract contained a term that Hall would not resell without giving Busst an option to repurchase.
- Hall sold without telling Busst.
- QSC held – contract enforceable
- HCA?

(1) To what extent is the High Court of Australia divided on whether the relevant clause of the contract is uncertain, and why?

(2) What did the Court say about the different rules in relation to a contract for the sale of goods and a contract for the sale of land?

Whitlock v Brew (1968) 118 CLR 445



- W agreed to sell land to B for an agreed price.
- SC5 – land for use for Shell service station under lease from purchaser.
- Lease terms to be reasonable
- Disputes to be referred to an arbitrator
- B (purchaser) sued for return of his deposit on ground of uncertainty.

(1) How did the Court determine the issue of "certainty"?

(2) What is the test to determine "severance"?

(3) How did the Court apply the test?

Meehan v Jones (1982) 149 CLR 571

Jones agreed to sell Meehan land on which an oil refinery had been built.

- SC1(b) – subject to purchaser / nominee receiving approval for finance on satisfactory terms and conditions … by 31 July 1979
- Vendor claimed contract void for uncertainty
- Vendor entered a contract on 23 July to sell to 2nd respondent
- Jones confirmed finance and made contract unconditional on 30 July.

(1) Did the term "subject to finance" create "**uncertainty**" in this case?

(2) What test did the court apply?

(3) Was the term "subject to finance" found to be "**illusory**"? Why?

(4) What was the major point of disagreement of the court in the case?

Placer Development Ltd v Commonwealth (1969) 121 CLR 353, 359-60

Taylor and Owen JJ explained the distinction between terms which are illusory and those which are real but uncertain.

> A promise to pay an unspecified amount of money is not enforceable where it expressly appears that the money to be paid is to rest in the discretion of the promisor and the deficiency is not remedied by a subsequent provision that the promisor will, in this discretion, fix the amount of the payment. Promises of this character are treated by Pollock (*Principles of Contract)* not as vague and uncertain promises – for their meaning is only too clear, but as illusory promises.

Godecke v Kirwan (1973) 129 CLR 629

Certainty and Illusory Promises

- Godecke (purchaser/ appellant) and Kirwan (vendor/ respondent) signed document called "*offer and acceptance*" re sale of land.

- Included:
  - Cl 3. Possession shall be given and taken upon signing and execution of a formal contract of sale within 28 days of acceptance of this offer …
  - Cl 6. If required by the Vendors I/we shall execute a further agreement to be prepared at my cost by his appointed solicitors containing the foregoing and such other covenants and conditions as they may reasonably require.
- Vendor refused to proceed
- Purchaser lodged a *caveat*
- Was the contract enforceable?

- SCt of WA Held: fell within 3rd category of Masters v Cameron, thus no contract

Godecke v Kirwan (1973) 129 CLR 629

Certainty and Illusory Promises

Questions for the High Court (Walsh, Gibbs Mason JJ)

(1) Were the clauses in concern an "agreement to agree"?

(2) Which category of *Masters v Cameron* should the agreement fall within?

(3) What did the court say about "uncertainty" or "illusory promise"?

Walsh: the wording of Cl 6. If required by the Vendors I/we shall execute a further agreement to be prepared at my cost by his appointed solicitors containing the foregoing and such other covenants and conditions as they may reasonably require. Limits possible changes to 'what is reasonable in an objective sense', not 'an agreement to agree later on additional terms to govern the bargain'

- Held: agreement is binding (Mason J agreed)

Gibbs: terms are commonly left to solicitors to finalise. Cl 6 does nto introduce any uncertainty into the contract.

- Held: agreement is binding

- What are the different ways in which an agreement might be regarded as too uncertain to bind the parties?

- What are the rules about filling gaps in a contract? What are some of the ways in which an apparent gap might be filled?

- What is the law in relation to the use of an objective standard? Does it depend on whether the standard is expressly invoked? Are the rules the same with respect to a contract for the sale of an interest in land?

- What does severance mean? What are the rules in relation to severance?

- What is the law where a contract provides someone (a party to the contract, a third party) with discretion as to its terms?

- In which of the following scenarios is the option to renew enforceable? Why?

  - A leases a shop to B for 6 years, with an option to renew for a further 6 years ‘at an amount of rent to be agreed by the parties’.

  - A leases a shop to B for 6 years, with an option to renew for a further 6 years ‘at the original rate of rent as adjusted for CPI’.

  - A leases a shop to B for 6 years, with an option to renew for a further 6 years ‘at a reasonable rental’.

  - A leases a shop to B for 6 years, with an option for B to buy the shop at any time during the lease ‘at a reasonable price’.

  - A leases a shop to B for 6 years, with an option for B to renew for a further 6 years ‘at such rental as the parties agree or, failing agreement, at such rental as Craig’s Appraisers shall at their absolute discretion determine’.